THE SELECTIVE AI FROST

Short monday.com (NASDAQ: MNDY)

When the Infrastructure Summer Creates an Application Winter

AI Capex: $630B (2026) | **SaaS Market Caps: -$1T+** | **MNDY: $67.88 (-79% from highs)**

Two Economies, One Buzzword

AI INFRASTRUCTURE SUMMER

- Hyperscaler capex: $140B (2023) → $630B (2026)
- 62% YoY growth in spending
- Supply-constrained (power, land, chips)
- Morgan Stanley: $2.9T through 2028
- Goldman: Estimates too low for 2 years running

SaaS APPLICATION FROST

- $1T+ wiped from SaaS market caps
- SaaS ARR growth: 14% (2024) → 10.5% (2025)
- Apps per company: 112 → 106 (82% cutting)
- Per-seat pricing: 21% → 15% in one year
- Hedge funds gained $24B shorting software

Gartner 2025: GenAI enters 'Trough of Disillusionment' | 95% of GenAI projects report zero ROI (MIT)

Source: Datacenter Richness, Goldman Sachs, Morgan Stanley, Forbes, Gartner via ITPro, Lemkin

Three Pillars of the Frost

1. SELF-SERVE ENGINE BREAKING

- SEO traffic: -25.3% YoY (BofA/Similarweb, July 2025)
- Self-serve gross ARR: contracted -7% (Q2 2025)
- PPC spend: +46% to compensate → CAC death spiral
- BofA downgrade: Buy → Neutral

2. AI FEATURES DESTROY VALUE

"It's quicker to do it manually than use the automation" — G2 review analysis

- Gross margin: 90% → mid-to-high 80s (AI compute costs)
- Monday Magic = 10.7% of ARR — not moving the needle
- Reddit: "Why does Monday focus on AI junk?"

3. CORE BUSINESS DECELERATING

- Revenue growth: 34% → 25% → guided 18-19%
- NDR: 112% → 110% (trending toward 100%)
- Management cut own $1.5B target, withdrew 2027 outlook
- Securities investigation (Feb 25, 2026)

Source: Investing.com (BofA), Yahoo Finance, Reddit (G2 Analysis), Reddit (AI Features), Intellectia

Decelerating Into the Frost

Metric	Q4'24	Q1'25	Q2'25	Q3'25	Q4'25	FY26E
Revenue ($M)	268	282	299	317	334	1,452-1,462
YoY Growth	32%	30%	27%	26%	25%	18-19%
NDR (All)	112%	112%	111%	111%	110%	?
NDR (100K+)	116%	117%	117%	117%	116%	?

Gross Margin: 90% → mid-80s

Op Margin: 14% → 11-12%

FCF Margin: 30.6% → 25.4%

FY26 guide: $1.452-1.462B vs consensus $1.48B — MISS. 2027 targets withdrawn.

Source: Intellectia, Investing.com (BofA), Yahoo Finance

The Perplexity Edge

Proving informational asymmetry — real-time AI product disillusionment vs. lagging financial metrics

WHAT TRADITIONAL SCREENERS SEE

4.7 / 5

G2 Rating — 15,000+ cumulative reviews

"Consistently high satisfaction"

- Aggregate score lags by 12-24 months
- Historical data masks recent churn signals
- Standard financial screens show no red flag
- Consensus PT still $120 — implies upside

WHAT PERPLEXITY COMPUTER DISCOVERED

Bypassed standard financial screens. Synthesized unstructured alternative data from Reddit, Trustpilot, and G2 review text to surface leading churn indicators.

> ***"It's quicker to do it manually than use the automation."***
>
> — Leading churn signal extracted from G2 review analysis

- Reddit: "AI junk" complaints rising sharply
- Trustpilot: "Worst support ever", "Do not use"
- Self-serve ARR: -7% contraction (Q2 2025)
- SEO traffic: -25.3% YoY — months before guidance cut

Source: Reddit (G2 Analysis), Trustpilot, Investing.com (BofA)

Price Target & Risk/Reward

Scenario	Multiple	Implied Price	From Current
Bear	15x P/E	$33	-51%
Base	20x P/E	$45	-34%
Bull	25x P/E	$56	-18%

P/E 30.3x — still 2.4x peer average (ZM: 12.7x, FRSH: 12.8x)
Analyst PT: $120.60 avg (was $250+ pre-crash) — further cuts expected

CATALYSTS

- Q1'26 earnings (May): Guide-down risk
- Gross margin compression each quarter
- NDR below 105% = critical inflection
- Each agentic AI launch = selling pressure

RISKS

- Enterprise expansion offsetting self-serve (34% growth in >50K ARR)
- AI product iteration could surprise
- M&A speculation at low valuation
- Already -79% from highs

This is research and analysis only, not personalized financial advice.

THE SELECTIVE AI FROST

Short monday.com (NASDAQ: MNDY)

When the Infrastructure Summer Creates an Application Winter

Hyperscaler AI capex: $630B in 2026 (4.5x 2023 levels) — infrastructure summer.
SaaS application layer: $1T+ wiped from market caps — application winter.
monday.com: SEO traffic -25%, self-serve ARR contracting, margins compressing.
AI features destroying value: "It's quicker to do it manually than use the automation."

PRICE	MKT CAP	P/E	52WK DECLINE	TARGET
$67.88	$3.5B	30.3x	-79%	$40–50

THE MACRO THESIS

Two Economies, One Buzzword

There are two AI economies. The first — infrastructure — is in the hottest summer in technology history: hyperscalers will spend $630 billion in 2026, 4.5x their 2023 levels.[1] The second — application-layer SaaS companies bolting "AI features" onto legacy products — has entered what we term the Selective AI Frost: a localized trough of disillusionment where AI promises destroy value rather than create it. monday.com is the poster child of this frost.

THE DIVERGENCE AT A GLANCE

Metric	AI Infrastructure (Summer)	SaaS Applications (Frost)
Capex / Spend	$140B (2023) → $630B (2026)	$1T+ wiped from market caps
Growth Signal	62% YoY capex increase	ARR growth fell to 10.5%
Demand	Supply-constrained	82% of companies cutting vendors
Gartner Position	Peak of Expectations (AI Agents)	Trough of Disillusionment (GenAI)
Investor Posture	Buying aggressively	Hedge funds gained $24B shorting

KEY SUPPORTING EVIDENCE

- Gartner's 2025 Hype Cycle: GenAI officially entered the Trough of Disillusionment.[2]
- 95% of organizations reported zero ROI on generative AI projects (MIT research, 2025).[3]
- Average company invested $1.9M in GenAI, yet <30% of CEOs were satisfied with returns.[3]
- Jason Lemkin: "Is this company getting AI spend, or funding the AI spend?" — Every AI dollar equals one less SaaS dollar.[4]
- IGV (software ETF) suffered worst single-day decline since COVID crash on Jan 29, 2026.[4]
- BofA forecasts AI capex quadrupling to $1.2 trillion by 2030; Morgan Stanley: ~$2.9T in data center construction through 2028.[5]

1. Datacenter Richness / Axios, https://datacenterrichness.substack.com/p/hyperscalers-plan-630-billion-in
2. Gartner via Today's General Counsel, https://todaysgeneralcounsel.com/gartners-ai-hype-cycle-genai-and-the-trough-of-disillusionment/
3. ITPro / Gartner, https://www.itpro.com/business/business-strategy/ai-investment-increase-2026-gartner
4. Jason Lemkin / LinkedIn, https://www.linkedin.com/pulse/2026-saas-crash-its-what-you-think-jason-m-lemkin-qpvic
5. Fortune / BofA, https://fortune.com/2026/02/04/why-saas-stocks-tech-selloff-freefall-like-deepseek-2025-overblown-paradox-irrational/

WHY MNDY IS THE POSTER CHILD

Three Pillars of Deterioration

PILLAR 1: THE SELF-SERVE ENGINE IS BREAKING

- SEO visits: -23.5% YoY (Q2 2025), worsening to -25.3% in July 2025 per BofA/Similarweb.[6]
- Self-serve gross ARR: contracted -7% in Q2 2025. BofA projects -5.2% for full year 2026.[6]
- PPC costs surged +46% to compensate for organic traffic loss — a classic CAC death spiral.[7]
- Google AI Overviews directly cannibalizing top-of-funnel discovery queries.
- BofA downgraded Buy → Neutral, slashed price target from $240 → $205.[6]

PILLAR 2: AI FEATURES DESTROY VALUE, NOT CREATE IT

> "It's quicker to do it manually than use the automation."
>
> — Most common churn signal in G2 review analysis, March 2026

- Monday Magic: reached $1M ARR but only 10.7% of total ARR comes from new products.[8]
- Gross margins guided DOWN from 90% to mid-to-high 80s — specifically due to AI compute costs.[8]
- Non-GAAP operating margin: 14% → 11–12% guided.[8]
- Reddit users: "Why does Monday focus on AI junk instead of making their mobile app work?"[9]
- AI-generated support responses creating frustration loops; R&D surging to 26% of revenue with no clear product-market fit for AI features.

PILLAR 3: THE CORE BUSINESS IS DECELERATING

Quarter	Revenue	YoY Growth	Direction
Q1 2024	$216.9M	~34%	—
Q2 2024	$236.1M	~29%	↓
Q3 2024	$251.0M	~27%	↓
Q4 2024	$268.0M	~26%	↓
Q1 2025	$283.1M	~25%	↓
Q4 2025	$333.9M	25%	—
Q1 2026E	$339.0M	~20%	↓↓
FY2026E	$1,452M	18–19%	↓↓↓

- Management cut own $1.5B 2026 target just 3 months after endorsing it.[8]
- 2027 targets entirely withdrawn.
- NDR declining: All-customer 112% → 110%, Enterprise 100K+ from 117% → 116%.
- Securities law investigation announced February 25, 2026.

Sources for previous page:
6. BofA Securities via Investing.com, https://www.investing.com/news/stock-market-news/bofa-downgrades-mondaycom-on-aidriven-hit-to-search-traffic-4205133
7. Yahoo Finance, https://finance.yahoo.com/news/monday-com-stock-slides-seo-173524254.html
8. Intellectia.ai, https://intellectia.ai/news/etf/mondaycom-reports-strong-q4-but-disappointing-guidance
9. Reddit r/mondaydotcom, https://www.reddit.com/r/mondaydotcom/comments/1rjsyf7/why_does_monday_focus_on_ai_junk_instead_of/

THE SENTIMENT EVIDENCE

Leading Indicators vs. Lagging Indicators

G2's 4.7/5 score across 15,000 reviews is a lagging indicator — it reflects the accumulated satisfaction of years of users, many of whom adopted before the AI pivot. Leading indicators, which predict future churn and acquisition headwinds, tell a starkly different story.[10]

Signal Type	Indicator	Reading
LAGGING	G2 Aggregate Score	4.7/5 (15K reviews)
LEADING	Reddit Sentiment	"AI junk", "do it manually"
LEADING	Trustpilot Reviews	"Worst support ever", "Buggy, broken"
LEADING	Self-serve ARR	Contracting -7%
LEADING	SEO Discovery Traffic	-25.3% YoY
LEADING	NPS / Churn Signals	"Feeling trapped" by pricing
INDUSTRY	Consumer AI Frustration	75% frustrated by AI CX (Glance 2026)

WHAT USERS ARE SAYING

"Honestly, had enough... paying for this and that at every turn."	Trustpilot Review
"If you really want to use the platform in any meaningful way you have to use the pro version."	G2 Review
"Every Employee. Every Day. For 6 Months. 'You will be blocked.'"	Enterprise Customer
"Buggy, broken, and a complete waste of time."	Trustpilot Review
Customer reported $8,500 in excess charges after pricing trap.	Trustpilot Review
"Why does Monday focus on AI junk instead of making their mobile app work?"	Reddit r/mondaydotcom

A Glance 2026 report found that 75% of consumers are frustrated by AI customer service — a macro headwind compounding MNDY's product-specific issues.[11]

10. Reddit / G2 Review Analysis, https://www.reddit.com/r/SaaS/comments/1rtr2rc/i_analyzed_mondaycoms_g2_reviews_its_quicker_to/
11. Glance 2026 CX Report via PRNewswire, https://www.prnewswire.com/news-releases/75-of-consumers-left-frustrated-by-ai-customer-service-302644290.html
12. Trustpilot, https://www.trustpilot.com/review/www.monday.com

FINANCIAL DETERIORATION

Insider Activity & Margin Compression

NET DOLLAR RETENTION — DECLINING ACROSS ALL TIERS

Quarter	All Customers	10+ Seats	50K+ ARR	100K+ ARR
Q1 2025	112%	115%	—	117%
Q2 2025	111%	114%	—	117%
Q3 2025	111%	114%	—	116%
Q4 2025	110%	114%	—	116%

All-customer NDR trending toward 100% — the line between expansion and contraction. Enterprise NDR (100K+) declined from 117% to 116%, signaling even the upmarket motion is softening.

MARGIN COMPRESSION — AI COSTS EATING PROFITABILITY

Metric	FY2024	FY2025	FY2026E	Direction
Gross Margin	~89%	~89%	Mid-to-high 80s	↓ DOWN
Non-GAAP Op Margin	~0%	14%	11–12%	↓ DOWN
FCF Margin	30.6%	25.4%	Declining	↓ DOWN
R&D; / Revenue	22%	26%	Rising	↑ BAD
SBC / Revenue	~15%	14.4%	Still elevated	⚠ HIGH

INSIDER ACTIVITY — ALL SELLING, NO BUYING

39 insider transactions in the last 12 months — zero significant buying. Co-founder Roy Mann and CEO Eran Zinman have been consistent sellers. Most recently, co-founder Abrahami sold 99,500 shares on March 18, 2026.

A securities law investigation was announced on February 25, 2026, adding legal risk to the deteriorating fundamental picture.

13. Intellectia.ai — Q4 2025 Earnings, https://intellectia.ai/news/etf/mondaycom-reports-strong-q4-but-disappointing-guidance
14. BofA Securities via Investing.com, https://www.investing.com/news/stock-market-news/bofa-downgrades-mondaycom-on-aidriven-hit-to-search-traffic-4205133

VALUATION & PRICE TARGET

Still Expensive for a Company Entering Winter

Despite a -79% drawdown from its February 2025 peak of $318.50, MNDY still trades at 30.3x P/E — a substantial premium for a company with decelerating growth (25% → 18–19%), negative GAAP profitability, compressing margins, and declining net dollar retention. The market is still pricing in a growth trajectory that management itself has abandoned.

SCENARIO ANALYSIS

Scenario	Multiple	Basis	Implied Price	Downside
Bear Case	15x P/E	FY26 EPS ~$2.24	$33	-51%
Base Case	20x P/E	FY26 EPS ~$2.24	$45	-34%
Bull Case	25x P/E	Recovery to 20%+ growth	$56	-18%

PEER COMPARISON — MNDY TRADES AT 2.4x PEER P/E

Company	P/E	Rev Growth	NDR	52wk Decline
MNDY	30.3x	25% → 18%	110% ↓	-79%
ZM (Zoom)	12.7x	4%	98%	-19%
FRSH (Freshworks)	12.8x	~18%	~105%	-51%
ASAN (Asana)	Neg	~10%	~100%	-67%

MNDY trades at 2.4x the P/E of peers like Zoom and Freshworks, which have similar or better growth profiles. Even after the 79% drawdown, the stock remains richly valued relative to its cohort.

ANALYST CONSENSUS — RAPIDLY COMPRESSING

Firm	Action	Prior PT	New PT	Change
Jefferies	Downgraded Buy → Hold	$260	$80	-69%
Needham	Maintained Buy	$250	$125	-50%
BofA	Downgraded Buy → Neutral	$240	$205	-15%
Baird	Downgraded OP → Neutral	—	—	—
Consensus Avg	—	—	$120.60	—

Consensus will continue compressing as analysts catch up to the pace of fundamental deterioration. The average PT of $120.60 still implies 78% upside — we believe this is backward-looking and will be revised down.

15. Goldman Sachs, https://www.goldmansachs.com/insights/articles/why-ai-companies-may-invest-more-than-500-billion-in-2026
16. Forbes — SaaSpocalypse, https://www.forbes.com/sites/petercohan/2026/02/06/saaspocalypse-now-ai-is-disrupting-saas---but-not-all-software-is-doomed/

CATALYSTS, RISKS & TIMELINE

Asymmetric Setup with Defined Risk Parameters

CATALYSTS FOR THE SHORT

1. Q1 2026 Earnings (May): Guide-down risk; self-serve metrics disclosure.
2. Gross Margin Prints: Each quarter showing AI cost compression on margins.
3. NDR Below 105%: Critical inflection if all-customer NDR breaches this level.
4. Agentic AI Launches: Each Claude/GPT agent release = direct workflow tool threat.
5. Insider Selling Windows: Continued heavy insider dispositions post-lockup.
6. Index Rebalancing: Potential removal from indices at lower market cap threshold.

RISKS TO THE SHORT

1. Enterprise Upmarket Shift: >50K ARR customers grew +34% — the one bright spot.
2. AI Product Surprise: Monday Magic could improve utility and drive adoption.
3. M&A / Takeout: Depressed valuation could attract strategic acquirers.
4. SaaS Recovery: Broader market rotation back into software lifts all boats.
5. Already -79% From Highs: Substantial negative already priced; limited further downside?
6. Short Squeeze Risk: If sentiment reverses rapidly, short covering could amplify upside.

INVESTMENT TIMELINE

Timeframe	Event / Catalyst	Expected Impact
May 2026	Q1 2026 Earnings	Guide-down; self-serve ARR disclosure
Q2–Q3 2026	Sequential margin prints	AI cost compression visible
H2 2026	Agentic AI product launches	Direct competitive displacement
Ongoing	Insider selling windows	Continued share dispositions
12–18 months	NDR inflection below 105%	Triggers re-rating to value multiple

This is research and analysis only, not personalized financial advice. Past performance is not indicative of future results. Short selling involves substantial risk including unlimited loss potential. Consult a qualified financial advisor before making investment decisions.

17. Morgan Stanley, https://www.morganstanley.com/insights/articles/ai-market-trends-institute-2026
18. Gartner via ITPro, https://www.itpro.com/business/business-strategy/ai-investment-increase-2026-gartner

THE SELECTIVE AI FROST

TRADING COMPARABLES ANALYSIS

Application-Layer SaaS Peer Group

Company	Ticker	Price	Mkt Cap ($B)	TEV ($B)	EV/Rev (LTM)	EV/Rev (NTM)	EV/EBITDA (LTM)	P/E	Gross Margin	Rev Growth	FCF Margin
monday.com	MNDY	$68.86	$3.55	$6.03	4.9x	~4.1x	499.9x	30.7x	89.2%	18-19%	25.4%
Zoom	ZM	$80.38	$23.80	$19.43	4.0x	~3.8x	15.5x	13.0x	77.0%	~4%	39.5%
Freshworks	FRSH	$7.99	$2.32	$2.72	3.2x	~2.8x	38.5x	12.7x	85.0%	~14%	28.2%
Asana	ASAN	$6.38	$1.51	$2.19	2.8x	~2.8x	NM	NM	89.0%	~8%	10.9%
Peer Median	—	—	—	—	3.2x	~2.8x	27.0x	12.8x	85.0%	~8%	28.2%

KEY TAKEAWAY

MNDY trades at 30.7x P/E — 2.4x the peer median of ~12.8x — despite decelerating to peer-level growth rates. On EV/Revenue, the premium has largely compressed, but the earnings multiple remains egregiously disconnected. At peer-average P/E, MNDY implies a $28-35 stock.

Source: Realtime Finance Data, company filings, analyst consensus estimates | Data as of April 1, 2026

DCF SCENARIO ANALYSIS

5-Year Unlevered Free Cash Flow Model — Three Scenarios

SHARED ASSUMPTIONS

Base Year (FY2025A): Revenue $1,232M | Gross Margin 89.2% | FCF $313M | FCF Margin 25.4%
WACC: 11.0% | Terminal Growth: 3.0% (Bear), 3.5% (Base), 4.0% (Bull) | Net Cash: $1,191M | Diluted Shares: 53.1M

BEAR CASE — "SELECTIVE AI FROST"

	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue ($M)	1,417	1,601	1,777	1,937	2,073
Growth	15%	13%	11%	9%	7%
Gross Margin	85%	83%	82%	81%	80%
FCF Margin	20%	18%	16%	15%	14%
FCF ($M)	283	288	284	291	290

Terminal EV/FCF 15x (peer-level) on FY2030 FCF $290M → TV = $4,355M
Discounted back → Equity Value ≈ $30-35/share (current price $68.86 = ~2x fair value)

BASE CASE

	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue ($M)	1,454	1,672	1,889	2,097	2,307
Growth	18%	15%	13%	11%	10%
Gross Margin	87%	86%	85%	85%	85%
FCF Margin	22%	21%	20%	19%	18%
FCF ($M)	320	351	378	398	415

Terminal multiple 18x FCF → TV $7,477M → Equity ≈ $45/share (base target: -34% downside)

BULL CASE

	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue ($M)	1,503	1,789	2,075	2,365	2,649
Growth	22%	19%	16%	14%	12%
Gross Margin	89%	88%	87%	87%	87%
FCF Margin	25%	24%	23%	22%	21%
FCF ($M)	376	429	477	520	556

Terminal multiple 22x FCF → TV $12,238M → Equity ≈ $56/share (still -19% downside)

PROBABILITY-WEIGHTED TARGET

Scenario	Terminal Multiple	Implied Price	vs. Current	Probability
Bear (AI Frost)	15x FCF	$33	-52%	40%
Base	18x FCF	$45	-35%	45%
Bull	22x FCF	$56	-19%	15%
Probability-Weighted		**$42**	**-39%**	

SENSITIVITY ANALYSIS & METHODOLOGY

Implied Share Price by Terminal Multiple × WACC

(Base Case FCFs, FY2030 terminal year)

FCF Multiple \ WACC	9%	10%	11%	12%	13%
12x	$33	$31	$30	$29	$27
15x	$41	$39	$38	$36	$34
18x	$49	$47	$45	$43	$41
20x	$55	$52	$50	$48	$46
22x	$60	$58	$55	$53	$50
25x	$68	$65	$62	$60	$57

Base case ($45 at 18x / 11% WACC) At or above current trading price ($69)

Implied Price by FY26 Revenue Growth × Terminal Gross Margin

(Terminal FCF multiple 18x, WACC 11%, FCF margin = Gross Margin × 22%)

Rev Growth \ GM	78%	80%	83%	85%	87%
12%	$33	$34	$35	$36	$37
15%	$36	$37	$39	$40	$41
18%	$41	$42	$44	$45	$46
20%	$45	$46	$48	$49	$50
22%	$49	$50	$52	$54	$55

Base case (18% growth, 85% GM) At or above current trading price ($69)

METHODOLOGY NOTES

- DCF: 5-year explicit forecast, terminal value via FCF exit multiple method
- WACC: 11.0% (risk-free 4.3%, equity risk premium 5.5%, beta 1.22, size premium 1.2%)
- Terminal multiples benchmarked to mature SaaS peers (ZM 10.1x EV/FCF, FRSH 11.5x)
- Bear case gross margin compression (89% → 80%) reflects management's own guidance of "mid-to-high 80s" accelerating as AI compute costs scale
- Revenue deceleration in Bear case (15% → 7%) models continued SEO traffic collapse (-25% YoY) and self-serve ARR contraction (-7%)

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1. Realtime Finance Data (quotes, ratios, estimates)
2. BofA/Similarweb: https://www.investing.com/news/stock-market-news/bofa-downgrades-mondaycom-on...
3. Intellectia: https://intellectia.ai/news/etf/mondaycom-reports-strong-q4-but-disappointing...